METHODOLOGY DOCUMENT
MSCI SUSTAINABILITY AND CLIMATE

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MSCI ESG Ratings Methodology: Controversial Sourcing Key Issue

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Introduction

This document provides essential information on the components of the Controversial Sourcing Key Issue to enable users of ESG Ratings to understand how MSCI Sustainability & Climate's (MSCI S&C's)[1] outputs are determined. Controversial Sourcing is a Key Issue in the Social Pillar of the MSCI ESG Ratings model. Companies are evaluated on their dependence on, and purchasing volume of, raw materials procured from conflict areas and their efforts at traceability and certification.

For additional details on the MSCI ESG Ratings Model, refer to the Data, ratings and scores section of "ESG Ratings Methodology."

Exhibit 1: MSCI ESG Key Issue hierarchy

3 Pillars	10 Themes	33 ESG Key Issues
Environmental	Climate Change	Carbon Emissions
		Climate Change Vulnerability
		Financing Environmental Impact
		Product Carbon Footprint
	Natural Capital	Biodiversity & Land Use
		Raw Material Sourcing
		Water Stress
	Pollution & Waste	Electronic Waste
		Packaging Material & Waste
		Toxic Emissions & Waste
	Environmental Opportunities	Opportunities in Clean Tech
		Opportunities in Green Building
		Opportunities in Renewable Energy
Social	Human Capital	Health & Safety
		Human Capital Development
		Labor Management
		Supply Chain Labor Standards
	Product Liability	Chemical Safety
		Consumer Financial Protection
		Privacy & Data Security
		Product Safety & Quality
		Responsible Investment
	Stakeholder Opposition	Community Relations
		Controversial Sourcing
	Social Opportunities	Access to Finance
		Access to Health Care

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3 Pillars	10 Themes	33 ESG Key Issues
		Opportunities in Nutrition & Health
Governance	Corporate Governance	Board
		Pay
		Ownership & Control
		Accounting
	Corporate Behavior	Business Ethics
		Tax Transparency

Risks associated with this Key Issue

- Reputational risk and potential loss of market share as consumer awareness grows.
- Costs to comply with new regulations (e.g., Corporate Sustainability Due Diligence Directive (CSDDD), U.S. Dodd-Frank Act).

Controversial Sourcing Key Issue score

The Controversial Sourcing Key Issue score evaluates the company's level of exposure to, and management of risks on this Key Issue. The Key Issue score is based on the Exposure score and the Management score using the formula below. The Exposure score and the Management score are combined such that a higher level of exposure requires a higher level of demonstrated management capability in order to achieve the same overall Key Issue score.–

$$KI_i = 7 - (\max(EXP_i, 2) - MGMT_i)$$

Where:

- KI_i is the Key Issue score for company i.
- EXP_i is the Exposure score for company i.
- $MGMT_i$ is the Management score for company i.

Controversial Sourcing Management framework

The table below outlines the indicators mapped to their respective components that inform the Controversial Sourcing Management score, excluding controversies. MSCI S&C assigns each indicator a default weight. Indicator weights may be adjusted at the company level to reflect the relevance of the indicator to the company's business activities. If a company has no exposure to the business activities covered by an indicator, the indicator is assigned a weight of zero.

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Component	Sustainability Indicator
Controversial Sourcing Practices score	Extent of efforts to ensure compliance with controversial materials sourcing policy
	Targets for ensuring compliance with controversial materials sourcing policy
	Extent of supplier/material certification as conflict-free by external agencies using the most stringent criteria
	Commitments to address controversial sourcing practices
	Extent of material traceability to place of origin

Controversial Sourcing Management score

The Controversial Sourcing Management score evaluates the company's ability to manage its exposure to risks on this Key Issue. It is based on weighted average of the score associated with each relevant indicator, modified by controversies.

This score is derived from indicators that are scored on a 0-10 scale, with 10 corresponding to best practice. Refer to the Analyzing risk management section of "ESG Ratings Methodology" for additional details. Sources are company disclosures except where otherwise indicated.

The following formula is used to calculate the Controversial Sourcing Management score - Excluding Controversies:

$$MGMT_i = \sum Indicator_Score_{j,i} * Indicator_Weight_{j,i}$$

Where:

- $MGMT_i$ is the Management score - Excluding Controversies for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.

The following formula is used to calculate the scores for the components

$$COMP_{c,i} = \sum_{j \in c} Indicator_Score_{j,i} * Indicator_Weight_Scaled_{j,i}$$

Where:

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- $COMP_{c,i}$ is the component score for component c, for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_Scaled_{j,i}$ is the scaled weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The following formula is used to calculate the weights for the components

$$COMP_Weight_{c,i} = \sum_{j \in c} Indicator_Weight_{j,i}$$

Where:

- $COMP_Weight_{c,i}$ is the component weight for component c for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The definitions of the data points in each component are given below:

Controversial Sourcing Practices score

The Controversial Sourcing Practices score evaluates the company's ability to manage its exposure to risks related to its dependence on, and purchasing volume of, raw materials procured from conflict areas and its efforts at traceability and certification. This score is equal to the Controversial Sourcing Management score (excluding controversies) and considers attributes of the company's policies and initiatives. It is expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Extent of efforts to ensure compliance with controversial materials sourcing policy**

Definition: Indicates whether the company carries out initiatives to ensure compliance with its controversial sourcing policy, or collaborates with stakeholders to promote supply chain transparency and accountability.

- **Targets for ensuring compliance with controversial materials sourcing policy**

Definition: Indicates whether the company has targets for ensuring compliance with its controversial materials sourcing policy.

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- **Extent of supplier/material certification as conflict-free by external agencies using the most stringent criteria**

Definition: The extent of relevant products externally certified as conflict-free using the most stringent criteria, which may differ from industry to industry. Example: Responsible Minerals Assurance Process (RMAP) for Consumer Electronics.

- **Commitments to address controversial sourcing practices**

Definition: Indicates whether the company has a policy to address sourcing and use of raw materials that may originate from areas associated with human rights violations, illicit trade and/or financing of violence.

- **Extent of material traceability to place of origin**

Definition: Indicates the estimated share of relevant products with traceable origin of raw materials. Traceable origin refers to the location where the ore was mined, to the best detail possible. At a minimum, the description must include the country, but more details may be provided including the province/state, city, mine site and mine name.

Controversies

A controversy deduction ranging from 0 to 5 points is subtracted from the overall Management score, based on the severity, status, and the company's role in the controversy. The following categories of controversies are used in the assessment:

- Controversial sourcing controversies

For more details on how controversies are included in the MSCI ESG Ratings model, refer to the Controversies cases section of "ESG Ratings Methodology."

Controversial Sourcing Exposure score

The Controversial Sourcing Exposure score evaluates the company's exposure to risks on this Key Issue. It is based on the Business and Company-Specific Exposure Scores . The Business Exposure score and Company-Specific Exposure score are scored on a 0-10 scale, with 10 corresponding to the highest risk and 0 corresponding to the lowest risk. Refer to the Analyzing risk exposure section of "ESG Ratings Methodology" for additional details. The following data sources and methodologies are used in the Exposure score calculation:

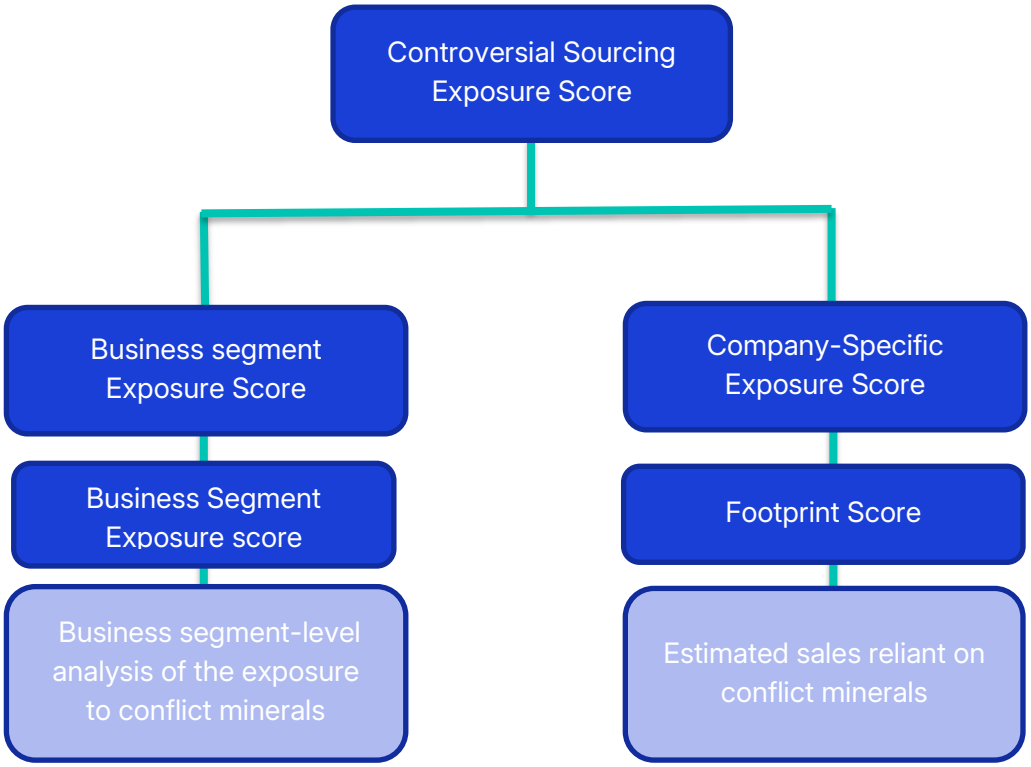
$$EXP_{COS,i} = \frac{BUS_{COS,i} + COM_{COS,i}}{2}$$

Where:

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- $EXP_{COS,i}$ is the Controversial Sourcing Exposure score of company i.
- $BUS_{COS,i}$ is the Business Exposure score of company i.
- $COM_{COS,i}$ is the Company-Specific Exposure score of company i.

Exhibit 2: Exposure score components



Business Exposure score

The Business Exposure score is determined using the formula below.

$$BUS_{COS,i} = \sum_{k=1}^{n_i} w_{Revenue,i,k} BSE_{COS,i,k}$$

Where:

- $BSE_{COS,i,k}$ is the Business Segment Exposure score of business segment k for company i.
- $w_{Revenue,i,k}$ is the weight of business segment k for company i based on the contribution to total company revenue.
- n_i is the number of business segments of company i.

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Business Segment Exposure score

The Business Segment Exposure score of a business segment is based on a mapping of the business segment as disclosed by the company to a corresponding business activity. MSCI S&C uses the Standard Industrial Classification (SIC) system along with industry-specific adjustments to define business activities. The score associated with a business activity is used to calculate a Business Segment Exposure score.

The Business Segment Exposure score represents the degree to which a business activity depends on conflict minerals tin, tantalum, tungsten, and gold as defined under the U.S. Dodd-Frank Act. The score ranges from 0 to 10, with higher values indicating greater dependency. The metric is derived by applying Large Language Model (LLM) analysis to Form SD filings submitted by companies to the Securities and Exchange Commission. These filings contain disclosures on conflict minerals due diligence and usage. The LLM text analysis extracts conflict minerals usage patterns, which is categorized by the extent of conflict mineral use. The Dependency score for each business activity is calculated based on the aggregated usage patterns of companies with relevant operations, providing a standardized measure of conflict minerals dependency at the activity level.

Company-Specific Exposure score

The Company-Specific Exposure score is determined by the Footprint score.

$$COM_{COS,i} = FS_{COS,i}$$

Where:

- $FS_{COS,i}$ is the Footprint score for company i.

The Footprint score for a company ranges from 0 to 10 and is derived from the estimated sales reliant on conflict minerals based on the formula below.

$$FS_{COS,i} = Scale_{0-10}\left\{3\ yr\ avgerage\ sales\ _{COS,i} \times \sum_{k=1}^{n_i} w_{Revenue,i,k}\right\}$$

Where:

- $3\ yr\ average\ sales\ _{COS,i}$ is the 3-year sales average of company i
- $w_{Revenue,i,j}$ is the weight of business segment k with Business Segment Exposure score equal to or greater than 5 for company i based on the contribution to total company revenue.
- n_i is the number of business segments of company i with Business Segment Exposure score equal to or greater than 5.

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Data sources

The following sources are used to determine the Controversial Sourcing Exposure score:

U.S. Securities and Exchange Commission, "Specialized Disclosure Report (Form SD);" Refinitiv; MSCI S&C; company disclosures.

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